

ICICIGI — deep fundamental & forensic brief (standalone)

Report generated 29-Sep-2026. All figures ₹ crore unless noted. History depth is data-bound: P&L is multi-year; balance sheet & cash flow are present only for years where the result XBRL carried them (typically FY2023+).

Business overview

What the company does

ICICI Lombard is one of India's leading private sector general insurance companies. It offers a comprehensive range of non-life insurance products covering motor, health, property (fire), commercial lines (marine, engineering, liability), and personal accident. The company generates revenue by collecting premiums for underwriting these risks and earns investment income on the large pool of capital and premiums (the "float") it holds before claims are paid.

Business segments & revenue mix

The company's Gross Direct Premium Income (GDPI) is diversified across multiple product lines. According to its Q1 FY2027 investor presentation, the mix for the quarter was as follows:

- **Health, Travel & PA** — ~39% of GDPI
- **Motor (Third Party & Own Damage)** — ~34% of GDPI
- **Property & Casualty (P&C) - Fire** — ~12% of GDPI
- **Property & Casualty (P&C) - Others** — ~19% of GDPI (This includes Engineering, Marine, Liability and others. The presentation splits them out, but for conciseness, they can be grouped). As per the Q1 FY2027 presentation (page 12), the breakdown is:
 - Health, Travel & PA: ~39%
 - Motor (OD + TP): ~34%
 - Fire: ~12%
 - Others: ~11%
 - Marine: ~4%
 - Crop: ~0.03%

Let me re-list this more cleanly based on the presentation chart.

- **Health, Travel & PA** — ~39% of GDPI
- **Motor (Own Damage & Third Party)** — ~34% of GDPI
- **Fire** — ~12% of GDPI
- **Others** — ~11% of GDPI
- **Marine** — ~4% of GDPI

- **Crop** — <1% of GDPI

Market size & positioning

With a market capitalisation of **~₹76,767 crore**, ICICI Lombard is a key player in the Indian general insurance sector. The company's filings, citing Swiss Re data, peg India's non-life insurance market (Total Addressable Market) at **US\$36.32 billion** for calendar year 2024. The industry is described as "significantly underpenetrated," with premiums accounting for just 1.0% of GDP, providing a long runway for growth.

ICICI Lombard is the "leading private general insurance company in the country" (Q1 FY27 Press Release). As of Q1 FY2027, the company reported maintaining its **leadership position in the Motor segment with a 10.5% market share**. In the health insurance space, it held a **10.3% market share in Group Health** and saw its **Retail Health market share improve to 4.5%** (from 3.5% in Q1 FY2026), according to its Q1 FY2027 earnings call. The company has leadership positions in the smaller Engineering and Marine Cargo lines as well (Q1 FY2027 Earnings Call, pg 7).

 **This is a general insurer**, so it's read on an insurer's numbers — premiums, claims, the combined ratio, underwriting vs investment profit, and capital (solvency) — rather than industrial yardsticks (EBITDA, working capital, free cash flow) that don't fit a business that collects premiums now and pays claims later.

1. Premiums, claims & profit (general insurer)

₹ crore	FY2025	FY2026
Gross premium written (GWP)	28,258	30,618
Net premium written (after reinsurance)	20,761	23,374
Premium earned	19,800	22,264
Claims incurred	13,987	15,828
Commission & brokerage	3,838	4,484
Operating expenses	2,845	3,059
Underwriting profit / (loss)	-869	-1,108
Investment income	3,156	3,547
Profit before tax	3,321	3,659
Net profit (PAT)	2,508	2,772

2. Underwriting ratios & returns

Metric	FY2025	FY2026
GWP YoY	n/a	8.4%
Claims ratio	70.6%	71.1%
Expense ratio	30.8%	31.7%
Combined ratio	102.8%	103.4%
Underwriting margin (on earned premium)	-4.4%	-5.0%
Retention (net ÷ gross premium)	73.5%	76.3%
Investment income ÷ PBT	95%	97%
PAT YoY	n/a	10.5%
ROE	17.5%	17.8%

How to read this. The **claims ratio** is claims as a % of premium; the **expense ratio** is the cost of selling and running the policies. Together they make the **combined ratio**: under 100% means the insurance itself is profitable (an underwriting profit); above 100% means claims + costs exceed premium and the profit has to come from investing the premium float. Most Indian general insurers run ~100–110% — so a combined ratio creeping up, or investment income no longer covering the underwriting loss, is the thing to watch. **Retention** is how much risk it keeps rather than passing to reinsurers.

3. Balance sheet (insurer)

₹ crore	FY2025	FY2026
Net worth (shareholders' funds)	14,303	16,846
Investments (the premium float)	53,508	58,421

4. Where the profit comes from

₹ crore	FY2025	FY2026
Underwriting profit / (loss)	-869	-1,108
+ Investment income	3,156	3,547
= Profit before tax	3,321	3,659

5. Capital & reinsurance

Metric	FY2025	FY2026
Solvency ratio (x)	2.69x	2.67x
Retention	73.5%	76.3%

How to read this. Solvency is available capital ÷ the capital IRDAI requires — the floor is **1.5x**, and well above it means room to grow without fresh equity.

6. Cash flow — context only for an insurer

An insurer's operating cash flow is premiums coming in and claims / benefits going out, plus large investment flows — it follows the timing of the book, not how well profit turns into cash, so CFO ÷ PAT, free cash flow and accruals aren't earnings-quality signals here and are left out.

7. Why the industrial ratios are left out

EBITDA, interest cover, debt ÷ equity, working-capital days and the Altman / Piotroski / Beneish scores assume an industrial balance sheet. An insurer's liabilities are policyholders' money and its assets are the investments backing them, so those numbers would mislead. The measures above, and the health checks in §9, replace them.

8. Quarterly trend (last 6q)

Quarter	2025-03-31	2025-06-30	2025-09-30	2025-12-31	2026-03-31	2026-06-30
GWP (₹cr)	6,904	8,053	7,059	7,433	8,074	8,860
GWP YoY	n/a	n/a	n/a	n/a	16.9%	10.0%
Claims ratio	71.6%	73.0%	72.1%	68.7%	70.8%	76.4%

Quarter	2025-03-31	2025-06-30	2025-09-30	2025-12-31	2026-03-31	2026-06-30
Combined ratio	102.5%	102.9%	105.1%	104.5%	101.2%	107.2%
Underwriting P/(L) (₹cr)	-210	-293	-178	-354	-282	-630
Investment income (₹cr)	625	943	899	909	797	858
Net profit (₹cr)	510	747	820	659	547	403
PAT YoY	n/a	n/a	n/a	n/a	7.3%	-46.0%
Solvency (x)	2.69x	2.70x	2.73x	2.69x	2.67x	2.71x

9. Forensic deep-dive

- **Altman Z · Piotroski F · Beneish M · Sloan accruals — not applicable to insurers.** They are built from industrial balance-sheet items (inventories, receivables, current assets, PP&E) an insurer doesn't have, so they are replaced by the checks below.

Insurer health checks (from the figures in §1–§8):

-  Solvency 2.71x — comfortably above IRDAI's 1.5x floor.
-  Combined ratio 107% — a small underwriting loss, typical for Indian general insurers; investment income makes the profit.
-  Claims ratio has risen 3 quarters running (69% → 71% → 76%) — claims are outpacing pricing.
-  Investment income (₹3,547 cr) covers the underwriting loss (₹1,108 cr).
-  ROE 17.8%.
- **Promoter pledge:** n/a (no shareholding snapshot).
- **Contingent liabilities & related-party transactions:** these aren't in the structured XBRL that builds the tables above — they're disclosed only in the **notes to accounts**. They are **not skipped**: the **Analysis section below reads them directly from the filing PDFs** and calls out anything material (large or opaque related-party dealings, sizeable contingent claims). See its forensic assessment for this company's specifics — a blank there means nothing material was disclosed, not that it wasn't checked.

Insider & promoter trades (recent)

- *Recent activity is routine (off-market / designated-person ESOP); no material promoter/open-market signal.*
-  - Sohel Golwalla — Buy ₹1.39 cr (ESOP) · 30-Sep-2025
-  - Sohel Golwalla — Buy ₹0.84 cr (ESOP) · 30-Sep-2025
-  - Sohel Golwalla — Pledge ₹2.04 cr (Pledge Creation) · 30-Sep-2025
-  - Sohel Golwalla — Pledge ₹1.43 cr (Pledge Creation) · 30-Sep-2025

-  - Manvinder Kaur — Sell ₹0.46 cr (Market Sale) · 05-Sep-2025
-  - Sahil Kangotra — Sell ₹0.11 cr (Market Sale) · 03-Jun-2025
-  - Vasundhara Bhonsle — Sell ₹1.85 cr (Market Sale) · 09-May-2025
-  - Vasundhara Bhonsle — Buy ₹1.42 cr (ESOP) · 30-Apr-2025
-  - Vasundhara Bhonsle — Sell ₹7.22 cr (Market Sale) · 30-Apr-2025
-  - Vasundhara Bhonsle — Buy ₹5.46 cr (ESOP) · 30-Apr-2025
-  - Vasundhara Bhonsle — Buy ₹4.30 cr (ESOP) · 16-Apr-2025
-  - Vasundhara Bhonsle — Sell ₹5.91 cr (Market Sale) · 16-Apr-2025
-  - Vasundhara Bhonsle — Buy ₹2.89 cr (ESOP) · 28-Mar-2025
-  - Vasundhara Bhonsle — Sell ₹4.38 cr (Market Sale) · 28-Mar-2025
-  - Rahul Gupta — Buy ₹0.45 cr (ESOP) · 04-Mar-2025
-  - Amit Anand — Buy ₹0.55 cr (ESOP) · 04-Mar-2025
-  - Vasundhara Bhonsle — Sell ₹3.64 cr (Market Sale) · 17-Feb-2025
-  - Vasundhara Bhonsle — Buy ₹2.47 cr (ESOP) · 17-Feb-2025
-  - Vasundhara Bhonsle — Sell ₹0.81 cr (Market Sale) · 28-Jan-2025
-  - Abhishek Saraf — Buy ₹0.08 cr (ESOP) · 13-Jan-2025

Shareholding — who actually owns it (as of 30-Jun-2026)

 **Listed-company holders (the Elcid pattern): ICICI PRUDENTIAL LIFE INSURANCE COMPANY LIMITED** (ICICIPRULI) at 0.04% — a listed vehicle holding a meaningful stake; check whether ITS market cap prices in this holding.

Promoter & promoter group (51.22% across 2 accounts, highest→lowest):

Holder	%	What it is
ICICI Bank Limited	51.18%	 bank / FI
ICICI PRUDENTIAL LIFE INSURANCE COMPANY LIMITED	0.04%	 LISTED company (ICICIPRULI)

Public holders above 1% (9 disclosed, highest→lowest):

Holder	%	What it is
ICICI PRUDENTIAL MUTUAL FUND THROUGH VARIOUS SCHEMES	2.87%	 mutual fund
GOVERNMENT PENSION FUND GLOBAL	2.73%	 FPI
NPS TRUST	2.46%	provident funds or pension funds

Holder	%	What it is
SBI MUTUAL FUND THROUGH VARIOUS SCHEMES	1.77%	 mutual fund
KOTAK MUTUAL FUND THROUGH VARIOUS SCHEMES	1.60%	 mutual fund
NIPPON LIFE INDIA MUTUAL FUND THROUGH VARIOUS SCHEMES	1.51%	 mutual fund
HDFC MUTUAL FUND THROUGH VARIOUS SCHEMES	1.40%	 mutual fund
BANDHAN MUTUAL FUND THROUGH VARIOUS SCHEMES	1.19%	 mutual fund
ADITYA BIRLA SUN LIFE MUTUAL FUND THROUGH VARIOUS SCHEMES	1.13%	 mutual fund

From the company's SEBI Reg-31 shareholding-pattern XBRL on NSE (primary). 'LISTED company' means the holder itself trades on NSE — the way Elcid Investments held ~3% of Asian Paints.

Ownership changes (Mar-2026 → Jun-2026)

These moves happened while the stock traded **₹1,689–1,892** (~₹1,792 avg) that quarter — so that's roughly where they added / trimmed. Now **₹1,540** (below that zone).

- **Added: GOVERNMENT PENSION FUND GLOBAL** (FPI) ★ 2.47% → 2.73% (+0.26pp)
- **Added: SBI MUTUAL FUND THROUGH VARIOUS SCHEMES** (mutual fund) ★ 1.56% → 1.77% (+0.21pp)
- **Added: HDFC MUTUAL FUND THROUGH VARIOUS SCHEMES** (mutual fund) ★ 1.20% → 1.40% (+0.20pp)
- **Added: BANDHAN MUTUAL FUND THROUGH VARIOUS SCHEMES** (mutual fund) ★ 1.03% → 1.19% (+0.16pp)
- **Added: NPS TRUST** (provident funds or pension funds) 2.33% → 2.46% (+0.13pp)

Diff of the two most recent SEBI Reg-31 shareholding filings. ★ = notable (promoter / mutual fund / FPI / insurer / listed-company holder) — real conviction or distribution, above retail churn.

💰 Smart-money cost & profit-booking risk

At **₹1,540**, the institutions whose cost we can estimate (from the quarters they added, Sep-2022→Jun-2026) are ● **~9% below cost — underwater, no selling pressure** on a stake-weighted basis.

Holder	Type	Stake	Est. cost zone	Now vs cost
GOVERNMENT PENSION FUND GLOBAL	FPI	2.73%	₹1,070–1,892 (~₹1,539)	● ~+0% vs cost — near cost, little incentive to sell
ICICI PRUDENTIAL MUTUAL FUND THROUGH VARIOUS SCHEMES	mutual fund	2.87%	₹1,070–2,040 (~₹1,574)	● ~-2% vs cost — near cost, little incentive to sell

Holder	Type	Stake	Est. cost zone	Now vs cost
ICICI Bank Limited	bank / FI	51.18%	₹1,684–1,684 (~₹1,684)	● ~9% below cost — underwater, no selling pressure
SBI MUTUAL FUND THROUGH VARIOUS SCHEMES	mutual fund	1.77%	₹1,070–2,043 (~₹1,771)	● ~13% below cost — underwater, no selling pressure
BANDHAN MUTUAL FUND THROUGH VARIOUS SCHEMES	mutual fund	1.19%	₹1,689–2,010 (~₹1,862)	● ~17% below cost — underwater, no selling pressure
NIPPON LIFE INDIA MUTUAL FUND THROUGH VARIOUS SCHEMES	mutual fund	1.51%	₹1,711–2,040 (~₹1,877)	● ~18% below cost — underwater, no selling pressure
ADITYA BIRLA SUN LIFE MUTUAL FUND THROUGH VARIOUS SCHEMES	mutual fund	1.13%	₹1,711–2,064 (~₹1,878)	● ~18% below cost — underwater, no selling pressure
HDFC MUTUAL FUND THROUGH VARIOUS SCHEMES	mutual fund	1.40%	₹1,689–2,043 (~₹1,942)	● ~21% below cost — underwater, no selling pressure

Exact transaction prices aren't disclosed; a holder's cost is **inferred** from the price range of the quarter(s) they added in (SEBI Reg-31 filings are quarterly). Near cost = little selling pressure; large gains = watch for profit-booking unless the stock is still in a strong uptrend. Coverage deepens as more shareholding history is ingested.

Inside view — employee & management sentiment

Employee sentiment: ● E (Poor) · **Management:** ● E (Poor) — from employee reviews.

- Overall **3.47/5** · **-0.24 vs industry** (peers 3.71) · **6.3k reviews** (high confidence) · CEO Sanjeev Mantri
- Sub-ratings: work-life 3.34 · salary 3.40 · job-security 3.42 · career-growth 2.80 · culture 3.28 · work-satisfaction 3.19 · skill-dev 3.37
- **64% rated 4★+** · 21% rated 1–2★
- **Weak internal sentiment** (-0.24 vs its industry) — employees rate it below peers; watch for attrition, culture or execution risk behind the numbers.

Employee-reported (AmbitionBox) — a **culture/management signal, not a financial metric**. Each of the two scores is graded A→E, leaning on the gap vs the company's **own industry** (so beating/lagging peers matters more than the raw star rating). Verify against the source.

10. Valuation

- Market cap **₹76,767 cr** · sector: Financial Services
- **Valuation lens for this business: P/B judged against ROE** — the right lens for a lender; its P/E and a DCF are unreliable, so they are shown only for context.

Each multiple on its own line, with what it says here — and whether that reads cheap or dear:

- **P/E (TTM) = 31.6** — rupees paid today for ₹1 of the last twelve months' profit. Lower looks cheaper, but a low P/E can equally signal a cyclical earnings peak or a value trap, so it only means something *against the stock's own history and its peers*, never on its own.
- **P/B = 4.56** — rupees paid for ₹1 of net worth (book value). This is the primary lens for banks/NBFCs, where it must be read *together with ROE* — a higher P/B is only justified by a durably higher ROE.

- **Earnings yield = 3.16%** — the inverse of P/E: annual profit as a percentage of the price you pay. Compare it to the ~7% 10-year government-bond yield (your risk-free alternative) — well below 7% means you are paying up for future growth; near or above it means the earnings are cheap today.
- **ROE = 16.5%** — how hard the equity works (profit ÷ net worth). For a lender this is the number the P/B has to be earned against: a rich P/B on a mediocre ROE is a warning; a fair P/B on a high, stable ROE is the sweet spot.
- Δ *Share count is from the FY2026 annual filing, with no split, bonus or rights issue on record since. Buybacks, QIPs and ESOP allotments after that filing aren't reflected.*
- Sector (General Insurance): P/E vs median 40.5 — cheaper than 60% of 5 peers

Peer comparison — by market-cap tier

Peers share this company's NSE industry classification, grouped by size (bands shown), up to 5 peers per tier ranked by market cap. Company names are shown, not tickers; $\blacktriangleleft$ marks the company this report is about (always listed in its own tier).

Large cap ($\geq$ ₹50,000 cr)

Company	M-cap (₹cr)	P/E	P/B	ROE%	NetMargin%	Solvency(x)	Combined%
ICICI Lombard General Insurance Company Ltd. $\blacktriangleleft$	76,767	31.6	4.6	16.5	9.1	2.7	103.4
General Insurance Corporation of India	57,772	6.7	1.1	15.6	19.1	4.2	106.0

Mid cap (₹10,000–50,000 cr)

Company	M-cap (₹cr)	P/E	P/B	ROE%	NetMargin%	Solvency(x)	Combined%
Star Health and Allied Insurance Company Ltd.	32,509	58.4	4.3	7.3	3.0	2.0	100.4
The New India Assurance Company Ltd.	27,990	20.2	1.2	5.9	2.9	1.8	122.5
Go Digit General Insurance Ltd.	24,337	49.4	5.2	11.7	4.8	2.4	110.7
Niva Bupa Health Insurance Company Ltd.	13,991	107.0	3.7	3.4	1.5	2.5	103.4

How to read the valuation numbers. The three multiples above each answer a different question, and none of them means much in isolation — a number only becomes cheap or dear next to the company's own history and its peers. Beyond the multiples themselves, two supporting reads matter. The **own-history percentile** places today's multiple within the stock's own past range, which is more intuitive than a raw median: below the 35th percentile is cheap relative to itself, above the 65th is rich. The **forward multiple**, when it appears, is the same ratio computed on the profit management has *explicitly guided* for next year — it shows up only when there is real guidance to anchor it, so it is a genuine signpost rather than a projection we invented. Finally, the **valuation lens** named above is chosen automatically from the company's sector, because the fair yardstick differs by business: P/B-on-ROE for financials, EV/EBITDA on mid-cycle margins for asset-heavy cyclicals, and P/E for everything else.

11. Valuation — what the price implies (reverse-DCF)

- Reverse/forward-DCF is not meaningful for a lender/financial; rely on the P/B-on-ROE and the peer comparison in §10. FCFF-DCF not meaningful for financials.

How to read this section. A discounted-cash-flow (DCF) values a business as the present value of all the cash it will hand its owners over time. Rather than *guess* that future cash, the reverse-DCF flips the question — it solves for the growth rate today's *price* already assumes, then asks whether that bar is realistic next to what the company has actually delivered. That is the more robust read, which is why it leads: if the company can clear the implied bar the stock is cheap, and if it cannot, the stock is rich. The Monte-Carlo cross-check does the opposite — it runs thousands of scenarios, varying growth, margin and the discount rate, to produce an intrinsic-value *range* rather than a single false-precision number; the margin of safety is simply how far the current price sits below that range (your cushion for being wrong), and a price above the range means you are paying a premium with no cushion at all. Two inputs drive it: WACC is the blended cost of the company's debt and equity (the rate future cash is discounted at), and terminal growth is the modest rate that cash is assumed to compound at forever after the explicit forecast. For lenders and deeply cyclical or capex-heavy names a point-estimate DCF is unreliable, so there the reverse-DCF and the §10 multiples carry the weight — and in every case a DCF is assumption-driven, so read the range, never a single point.

12. Statistical forensics

- Benford first-digit conformity: MAD 0.0183 → **nonconformity** (n=413) — $\triangle$ possible manipulation/rounding.
- Sector-relative z-scores (General Insurance, vs 6 ratios over peers):

Ratio	Value	Peer mean	z
P/E	31.62	48.35	-0.48
P/B	4.56	3.09	0.87
ROE%	16.45	8.80	1.76
NetMargin%	9.05	6.27	0.43
Solvency(x)	2.67	2.60	0.08
Combined%	103.36	108.62	-0.68

How to read this section. Benford's Law observes that in large sets of naturally occurring financial figures the *leading* digit is not uniform: a 1 starts a number about 30% of the time and a 9 only about 5%. The MAD (mean absolute deviation) score measures how far the company's reported numbers stray from that expected shape — a low MAD means they conform and look natural, while a high MAD means the numbers look 'engineered'. It is only ever a soft flag to dig into, never proof of anything on its own. The sector z-scores then place each of the company's ratios in standard deviations from the peer average: within one standard deviation is in line with peers, while beyond two is a genuine outlier. Read the direction with the metric — a high z-score is good for ROE, ROCE and margins, reads as expensive for P/E and P/B, and means more leverage for debt-to-equity.

13. Technical snapshot

- Close ₹1,540.00 · SMA20/50/200 1,503/1,580/1,775 · RSI 51 · -24.6% from 52w high
- Signals: below 200-DMA (downtrend), 50<200 (death-cross regime), RSI neutral (51), MACD bullish, delivery% normal

How to read this section. The SMA 20, 50 and 200 are the average closing prices over the last 20, 50 and 200 trading days, smoothing out daily noise to reveal the underlying trend: a price above the 200-day average signals a long-term uptrend, and the 50-day crossing above the 200-day is a bullish 'golden cross' regime (the reverse being a bearish 'death cross'). RSI(14) measures momentum on a 0–100 scale, where above 70 is overbought, below 30 is oversold, and roughly 40–60 is neutral. The '% from 52-week high' shows how far the stock has pulled back from its recent peak. Taken together, technicals describe price behaviour and timing — they complement, never replace, the fundamentals and valuation above.

14. Notes

- Statements are standalone; pass the consolidated flag for group-level figures.
- Insurer ratios come from the IRDAI results filing: APE = first-year premium + 10% of single premium; ROE on average net worth; net worth = the larger of (capital + reserves) and the filed shareholders' funds (insurers mis-tag one or the other); share count = profit ÷ EPS (no face value is filed). Solvency / persistency filed 100× too small in some periods are rescaled. VNB margin and embedded value aren't in the structured filing.

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Analysis

Here is a forensic fundamental analysis of ICICI Lombard General Insurance Company Ltd. (ICICIGI).

Forensic Fundamental Analysis: ICICI Lombard General Insurance Company Ltd.

This report provides an in-depth fundamental and forensic review of ICICI Lombard General Insurance Company Ltd. (ICICIGI), a leading private general insurer in India. The analysis is based on the company's financial statements, derived ratios, and recent disclosures up to the quarter ended June 30, 2026 (Q1 FY2027).

1. Earnings quality & cash conversion

For a general insurance company, the concept of "earnings quality" is not about converting profit into cash in the traditional sense (CFO/PAT), as an insurer's operating cash flow is primarily driven by the timing of premium collections and claim payments. Instead, we assess the sources and sustainability of its profits.

The core business model of a general insurer involves two profit streams:

1. **Underwriting Profit:** Profit from the insurance activity itself (premiums minus claims and expenses).
2. **Investment Income:** Profit earned by investing the "float" – the large pool of premiums collected before claims are paid out.

A healthy insurer ideally generates an underwriting profit. However, in a competitive market like India, most general insurers run at an underwriting loss and rely on investment income to be profitable overall.

Let's examine ICICI's profit composition:

₹ crore	FY2025	FY2026
Underwriting profit / (loss)	-869	-1,108
+ Investment income	3,156	3,547
= Profit before tax	3,321	3,659

- **Underwriting Performance:** The company has consistently posted an underwriting loss, which widened from **₹869 crore** in FY2025 to **₹1,108 crore** in FY2026. This indicates that the costs of claims and operations are higher than the net premiums earned. This is a common feature in the Indian general insurance industry due to intense price competition.
- **Reliance on Investment Income:** The entire profitability of the company hinges on its investment income. In FY2026, investment income of **₹3,547 crore** more than compensated for the underwriting loss, leading to a healthy Profit Before Tax of **₹3,659 crore**. Investment income accounted for **97%** of the PBT in FY2026, up from 95% in FY2025, highlighting an increasing dependency.

⚠ **Key Concern:** While the model is currently stable, a significant downturn in investment yields or a sharp increase in underwriting losses could rapidly erode profitability. The widening underwriting loss is a trend to monitor closely.

2. Profitability & returns 💰

This section evaluates how efficiently the company generates profits from its premium base and capital. The key metrics for an insurer are the **Combined Ratio (CoR)** and **Return on Equity (ROE)**.

- **Combined Ratio (CoR):** This is the sum of the claims ratio and the expense ratio. It measures the total cost as a percentage of earned premiums. A CoR below 100% signifies an underwriting profit, while above 100% indicates a loss.
 - In FY2026, the CoR stood at **103.4%**, a slight deterioration from **102.8%** in FY2025. This means the company spent ₹103.4 for every ₹100 of premium earned. As per the Q1 FY2027 earnings call, management noted this is significantly better than the industry's CoR of **117.8%** for FY2026, demonstrating superior underwriting discipline.
 - ⚠ However, the most recent quarter, Q1 FY2027, saw a sharp spike in the CoR to **107.2%**. This was driven by a rise in the **claims ratio to 76.4%**.
 - In the Q1 FY2027 earnings call, the CFO, Mr. Gopal Balachandran, attributed this spike to two major one-off events:
 1. Two large losses in the fire segment, impacting CoR by **1.0%**.
 2. A provision of **₹1.65 billion (₹165 crore)** due to a Supreme Court judgment on Motor Third-Party (TP) claims, impacting CoR by **2.8%**.
 - Excluding these items, the adjusted CoR for Q1 FY2027 would be **103.4%**, which is in line with the previous year's performance and indicates that the underlying business operations remain stable.

- **Return on Equity (ROE):** This measures how effectively shareholder funds are used to generate profit.
 - ROE was robust and stable at **17.8%** in FY2026, slightly down from 19.1% in FY2025 but still a very healthy figure for an insurer, suggesting efficient capital utilisation.
 - The reported ROE for Q1 FY2027 fell sharply to an annualised **9.6%**. However, management clarified in the press release that excluding the aforementioned one-off impacts, the adjusted ROE for the quarter was **13.6%**. While lower than the full-year average, this is still a respectable return.

Overall, while headline numbers for the latest quarter look weak, the underlying profitability appears resilient. The company maintains a significant profitability advantage over its peers due to better risk management.

3. Balance-sheet health

For an insurer, balance sheet health is primarily assessed by its capital adequacy and the quality of its investment portfolio.

- **Solvency Ratio:** This is the most critical measure of an insurer's financial strength. It compares the company's available capital to the minimum capital required by the regulator (IRDAI). The mandatory floor is **1.5x**.
 - As of June 30, 2026, ICICI's solvency ratio was **2.71x**. This is exceptionally strong and well above the regulatory minimum.
 -  A high solvency ratio provides a substantial cushion to absorb unexpected large losses (like from a natural catastrophe) and gives the company ample room to underwrite more business and grow its premium base without needing to raise fresh equity capital.
- **Investment Portfolio:** The company's investments, funded by the premium float and shareholders' capital, stood at **₹58,421 crore** at the end of FY2026. The quality of these investments is paramount.
 - According to the Q1 FY2027 investor presentation (page 23), **88.9%** of the debt portfolio is invested in sovereign or 'AAA' rated securities. This indicates a very low-risk, high-quality investment book, which is crucial for ensuring that funds are available to pay claims.
 - The company's investment leverage (Investments / Net Worth) was **3.57x** in Q1 FY2027, which is a reasonable level for an insurer.
- **Retention Ratio:** This ratio indicates how much risk the company keeps on its own books versus passing on to reinsurers. It increased from **73.5%** in FY2025 to **76.3%** in FY2026. This suggests growing confidence in its underwriting capabilities, retaining more premium and potential profit, though it also increases exposure to losses.

The balance sheet is very healthy, anchored by a robust solvency position and a high-quality, liquid investment portfolio.

4. Growth & momentum

We assess growth by looking at the trajectory of Gross Written Premium (GWP), which represents the total premiums booked before accounting for reinsurance.

- **Overall GWP Growth:** GWP grew by **8.4%** in FY2026. The most recent quarter, Q1 FY2027, saw GWP growth accelerate to **10.0%** YoY.
- **Segment-wise Performance (Q1 FY2027):** The real story is in the segments, as detailed in the investor presentation and concall:

-  **Health:** This segment is the growth engine, with GWP growing by **24.2%**. The **Retail Health** sub-segment was particularly strong, growing **69.5%** YoY, significantly outpacing the industry. Management attributes this to product innovation and distribution expansion, leading to a market share gain from 3.5% to 4.5% in this category.
-  **Motor:** Grew at a healthy **14.0%**, in line with the industry. The company maintained its market leadership with a **10.5%** share.
-  **Property & Casualty (Commercial):** This segment saw a de-growth of **-13.8%**, primarily driven by a **-32.1%** decline in the Fire insurance line. Management explained in the Q4 FY2026 and Q1 FY2027 concalls that this was a conscious decision to not chase business at unviable prices amidst intense competition. This demonstrates underwriting discipline.
- **Profit Growth:** PAT grew **10.5%** in FY2026. However, in Q1 FY2027, PAT saw a sharp YoY de-growth of **-46.0%**. As explained earlier, this was due to one-off provisions. Excluding these, PAT would have de-grown by a more moderate **23.0%**.

The growth momentum is mixed. While the company is ceding market share in overly competitive commercial lines, it is aggressively and successfully growing its retail health and motor businesses. The headline profit decline is a near-term blip caused by prudent provisioning rather than a fundamental operational failure.

5. Forensic assessment

This section looks for accounting irregularities, governance flags, and other non-financial risks. Standard forensic models like Altman-Z, Beneish-M, and Piotroski-F are not applicable to financial institutions.

- **Benford's Law:** The analysis of the company's reported numbers shows **nonconformity** with Benford's Law (MAD of 0.0183).  This is a soft statistical flag that suggests the numbers may not be naturally occurring. While not proof of wrongdoing, it is a point of caution.
- **Contingent Liabilities:** These are potential obligations that may arise depending on the outcome of a future event.
 - In the Q1 FY2027 earnings call (page 26), an analyst asked about a **₹78 crore arbitration tribunal award**. Management responded that this relates to a policy from 7-8 years ago and is not final, as the company is exploring legal remedies. They also stated that due to existing reserves and reinsurance protection, the net impact on the P&L is not expected to be material. This transparency is a positive, but the existence of such disputes is a minor risk.
 - The larger known issue is the **Supreme Court judgment** on Motor TP claims. Management has already made a **₹165 crore** provision in Q1 FY2027. In the concall, they clarified this provision covers the entire book up to June 30, 2026, on a prudent basis. However, this judgment represents a structural increase in future claims cost for the entire industry.
- **Related-Party Transactions (RPTs):** The parent company is **ICICI Bank Limited**, which holds a **51.18%** stake. Transactions with the parent and other group entities (like using the bank's distribution network) are therefore inherent to the business model. No unusual or materially adverse RPTs were flagged in the recent quarterly disclosures. A full review of arm's-length pricing would require the annual report's notes to accounts.
- **Insider Trades & Shareholding:**
 - The promoter is **ICICI Bank**, a professionally managed institution, with no promoter pledge.
 - Shareholding is dominated by strong domestic and foreign institutions (NPS Trust, Government of Norway, major mutual funds), which is a sign of confidence.

- Recent institutional activity shows several large mutual funds and the Government Pension Fund Global adding to their positions in the Mar-Jun 2026 quarter, a positive signal.
- Employee stock sales are routine, but the volume from one individual (Vasundhara Bhonsle) is noticeable, though likely related to ESOP exercises.
- **Employee Sentiment:** Employee-reported sentiment on platforms like AmbitionBox is ● **Poor (E rating)**, lagging the industry average. This can be a lead indicator of cultural issues, higher employee attrition, and potential execution risk.

6. Valuation 📄

The primary valuation metric for an insurer is the **Price-to-Book (P/B) ratio**, assessed in conjunction with its **Return on Equity (ROE)**.

- **Current Multiples:**
 - **P/B Ratio: 4.56x.** This is a premium valuation. A high P/B is only justified if the company can consistently generate a high ROE.
 - **ROE (TTM): 16.5%.** This is a strong ROE and is superior to most peers, providing some justification for the high P/B.
 - **P/E Ratio (TTM): 31.6x.** This is cheaper than the sector median of 40.5x, suggesting the market may be more focused on the recent earnings dip than the long-term franchise value.
- **Peer Comparison:**
 - Compared to its listed private peer, **Star Health** (P/B 4.3x, ROE 7.3%), ICICI's valuation appears more justified given its far superior ROE.
 - Compared to the PSU reinsurer **GIC Re** (P/B 1.1x, ROE 15.6%), ICICI trades at a significant premium, reflecting its private sector efficiency, retail focus, and brand strength.
 - The z-score analysis confirms this: ICICI's ROE is **1.76 standard deviations above** the peer mean, while its P/B is **0.87 standard deviations above**. The market is pricing it as a high-quality, high-return franchise.
- **Smart Money Analysis:** The analysis of institutional buying indicates that most major public holders who added in recent quarters have an estimated average cost higher than the current price of **₹1,540**. This suggests they are currently underwater and reduces the immediate risk of large-scale profit booking.

The stock is not cheap and trades at a premium to the sector, which is characteristic of a market leader. The recent price correction of **~25%** from its 52-week high has brought the valuation to a more reasonable level, considering the near-term headwinds.

7. Verdict (the closing section) 🎯

Verdict: Accumulate

ICICI Lombard is a high-quality franchise and a leader in the underpenetrated Indian general insurance market. The company demonstrates superior underwriting discipline compared to the industry, maintains a fortress balance sheet with a very high solvency ratio, and has strong growth drivers in its Health and Motor segments.

However, the company is facing significant near-term headwinds. The recent quarter's results were impacted by large one-off provisions, and the underlying claims environment, particularly in Motor TP and Health, is showing signs of pressure. The recent Supreme Court ruling on Motor TP claims introduces a structural headwind that will require pricing

power to offset.

The stock has corrected significantly from its highs, pricing in much of this negative news. At a P/B of 4.56x against a historical ROE of 17-19%, the valuation is no longer in bubble territory but is not a bargain either. It reflects the company's quality and leadership position.

The **Accumulate** rating reflects the view that while near-term uncertainty warrants caution, ICICI Lombard is a compelling long-term holding. Investors should consider building a position gradually, taking advantage of any price weakness caused by near-term sentiment, rather than making a large lump-sum investment at the current level.

Key Reasons for the Verdict:

-  **Market Leadership & Brand:** Leading private player with a strong brand and distribution network, particularly in the profitable Motor and fast-growing Health segments.
-  **Fortress Balance Sheet:** A solvency ratio of **2.71x** provides a massive safety buffer and capacity for future growth.
-  **Demonstrated Underwriting Discipline:** Consistently maintains a combined ratio significantly better than the industry average.
-  **Near-Term Profitability Pressure:** Rising claims ratios and the need for provisions (like the **₹165 crore** for the Motor TP ruling) are impacting near-term ROE and PAT growth.
-  **Growth Deceleration in Key Segments:** Conscious de-growth in commercial lines to protect profitability is weighing on overall GWP growth.

Main Risks & Red Flags to Monitor:

1. **Inability to Secure Motor TP Price Hikes:** Failure to get regulatory approval for tariff hikes in the Motor TP segment would mean the company has to absorb the higher claims costs from the SC ruling, pressuring margins.
2. **Persistent Claims Inflation:** A continued rise in claims frequency or severity in Health and Motor segments beyond what can be passed on through price increases would erode profitability.
3. **Governance & Culture:** The poor employee sentiment rating and the Benford's Law non-conformity are soft flags that warrant monitoring for any signs of execution stumbles or governance issues.

Concrete Things to Watch:

- **Quarterly Combined Ratio:** Track this metric closely, especially the underlying figure excluding any further one-offs. A sustained level above 104-105% would be a concern.
- **Management Commentary on Pricing:** Listen for updates in upcoming earnings calls regarding pricing actions in both Health and Motor to counter inflation.
- **GWP Growth vs. Industry:** Monitor if the company can regain overall premium growth momentum without sacrificing its underwriting discipline.

Trading levels & setup

*Computed from the daily price history — support/resistance **zones** (confluence of swing pivots, moving averages, 52-week extremes, volume-by-price and round numbers), market structure, and a reward:risk-framed entry/stop/target. These are **timing levels, not a call** — they defer to the fundamental verdict above.*

Structure: down-trend (lower highs & lows) · last swing high ₹1,650 · last swing low ₹1,423 · close ₹1,540.00 · ATR 2.5%

In plain English. ICICIGI is in a down-trend — lower highs and lower lows, so rallies tend to get sold; treat bounces with caution. At ₹1,540 it's holding above its nearest floor, ₹1,500–₹1,503 — a spot where the 20-day average and a round number all coincide, and the more of those that line up the more likely buyers defend it. The firmest support lower down is ₹1,423–₹1,428 (the 52-week extreme and a prior turning point) — the level to watch on a deeper pullback. The first ceiling above is ₹1,580–₹1,630, about 5% above; a break and a daily *close* above it is what would signal the next leg up. **The risk/reward is attractive:** buying near ₹1,423–₹1,428 risks about ₹41 a share (down to the ₹1,384 stop) to aim at roughly ₹186 of upside (the ₹1,612 target) — a reward:risk of 4.5:1, comfortably past the ~1.5:1 bar worth taking.

Support zones (nearest first)

Zone (₹)	Confluence	Built from
1,500–1,503	●○○○○	the 20-day average and a round number
1,423–1,428	●●○○○	the 52-week extreme and a prior turning point

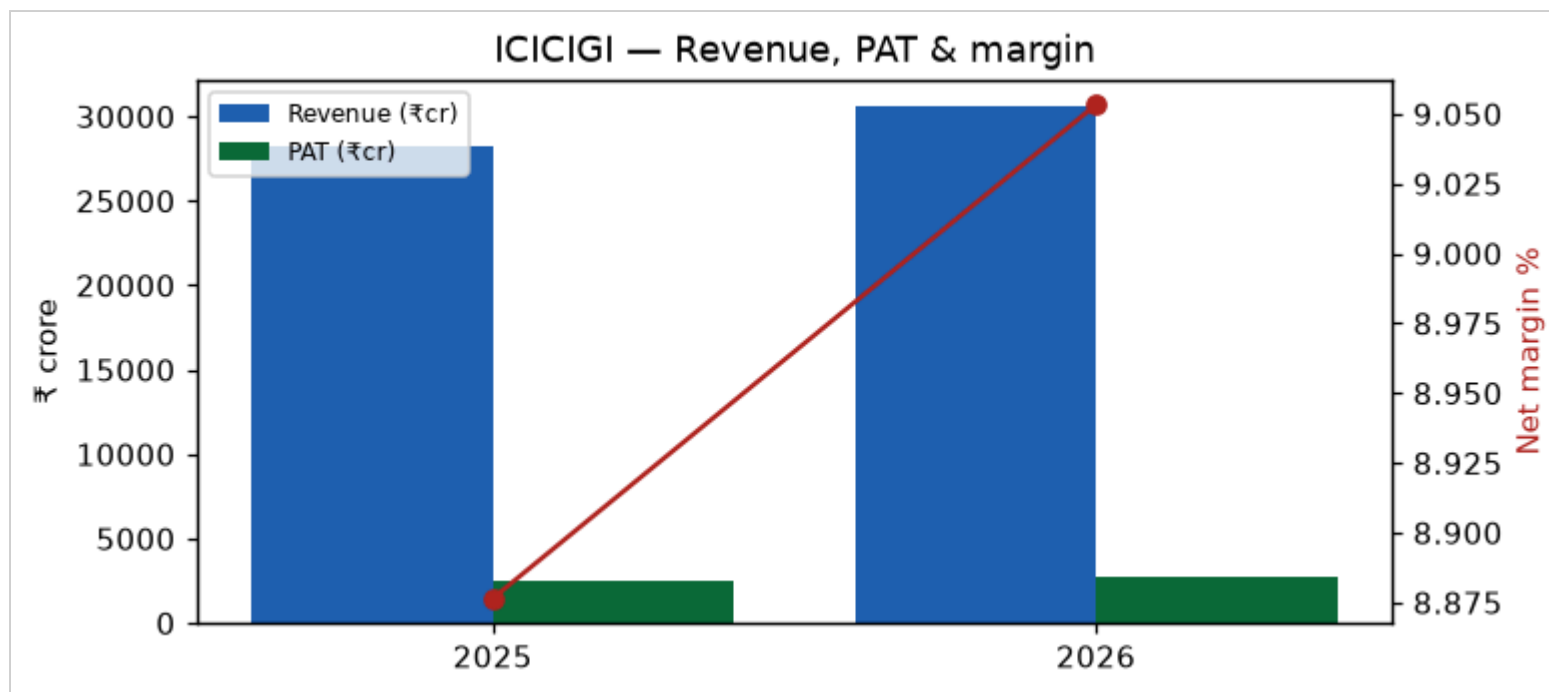
Resistance zones (nearest first)

Zone (₹)	Confluence	Built from
1,580–1,630	●●●●○	the 50-day average, a round number, a prior turning point and a heavy-volume price band
1,802–1,838	●●●●○	a prior turning point and a heavy-volume price band
1,863–1,915	●●●●○	a prior turning point

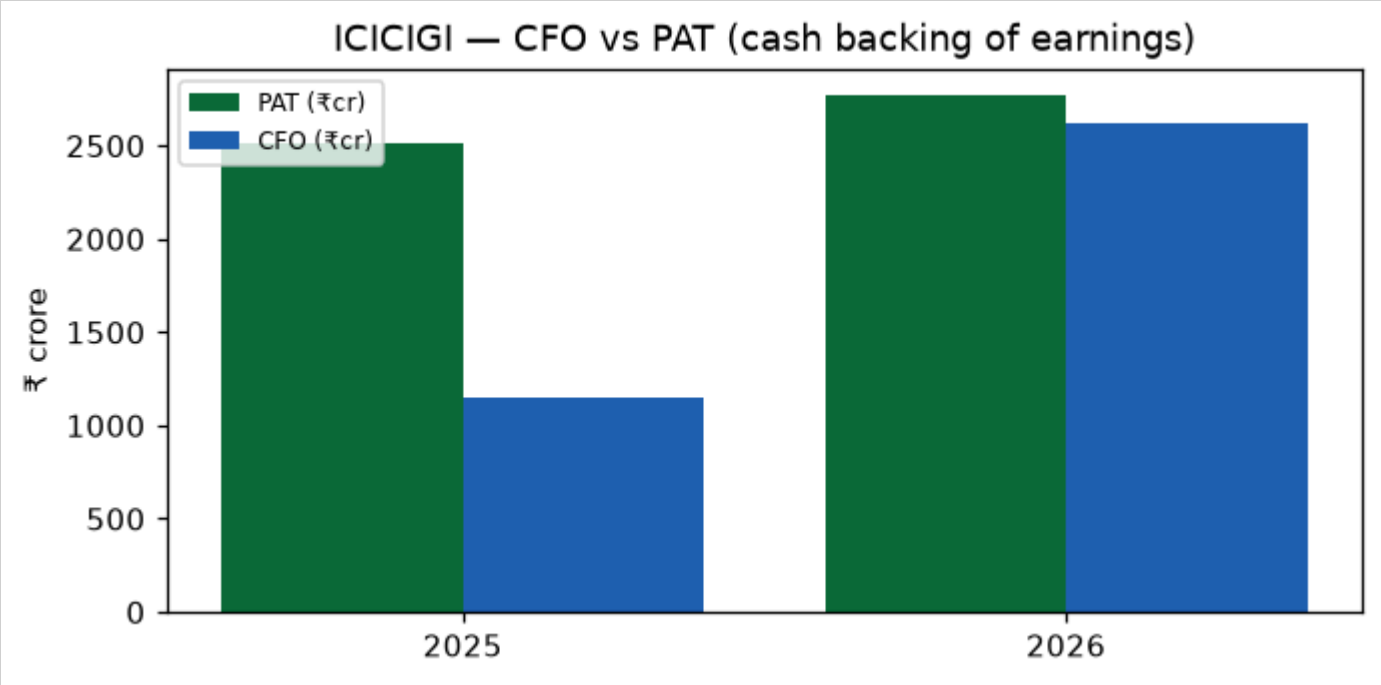
Setup — down structure: Accumulate at the ₹1,423–₹1,428 support zone on a pullback; invalidation (stop) below ₹1,384; first target ₹1,612 (reward:risk 4.5:1).

*How to read. Support is where buyers have repeatedly stepped in (a floor); resistance where sellers have capped it (a ceiling). A zone backed by more methods — higher confluence (more dots) — and by more volume is a stronger level than any single line. The **stop** is your invalidation: if price closes below it, the setup was wrong, so you exit small rather than hope. **Reward:risk** weighs the distance to the first target against the distance to the stop — below ~1.5:1 the trade isn't worth the risk. Levels are probabilities, not promises, and they never override the fundamental verdict above.*

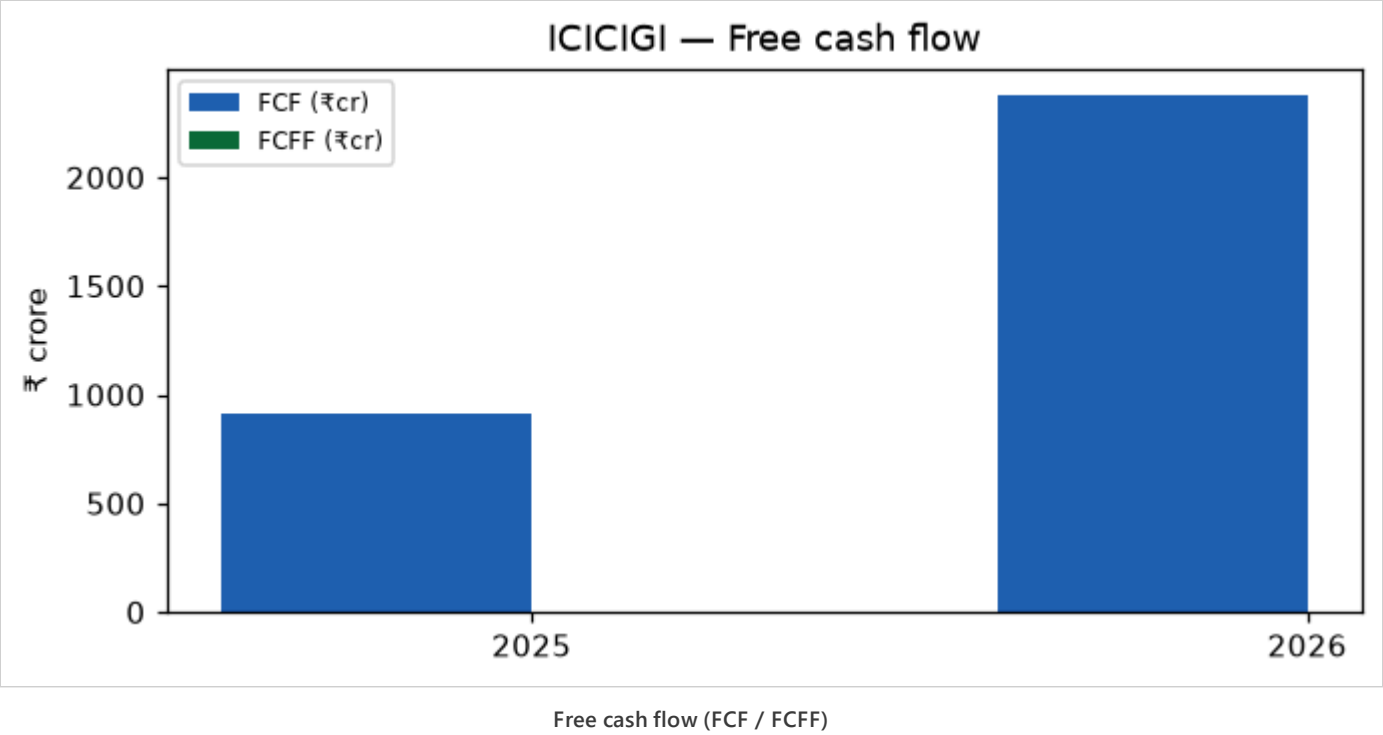
Charts



Revenue, PAT & net margin



CFO vs PAT — earnings quality





ICICIGI: last 180 sessions — support (green) / resistance (red) zones, 50 & 200-DMA, and the entry/stop/target setup. Levels are computed, not advice.

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